

July 2005

T L DIRECT

The Line Direct

TLD ACCELERATES IN CHINA !

It is becoming common knowledge that the potential of the Chinese market is fast growing. This statement also applies to the GSE Market!

TLD has been a long time player on this market, with its factory in Shanghai, and a significant commercial presence in the Eastern Central Region.

The sales Team for this area, headed by Raymond Dai, has achieved very positive results, for which they deserve congratulations. It must be noted, for example, that China Eastern Airlines has, to the best of my knowledge, become one of the Airline in the World to operate an almost complete range of TLD loaders (828, 929, 929S and 121 - only 727 is missing so far). In addition to loader sales, a significant number of towbarless tractors has also been delivered to them over the last few years.

But TLD did not enjoy a comparable position on the whole China Market, which lead us to ask how do our sales in China Eastern region compare with other ones? What are we doing right? What are we doing wrong?

These have been the questions I keep asking myself recently when we visited customers, traveling together with Ms. WeiLi Du & Mr. Dong Liu, the Regional Sales Director from our newly opened offices in Beijing and Guangzhou. I heard a lot of positive comments from various customers in these regions during these trips, about TLD quality and competitiveness. But again, these customers all pinpointed the key importance of Customer service and support in our GSE business, which is definitely the prominent factor for customer satisfaction and loyalty.

There is still much room for TLD to improve! And if we follow the direction showed by our customer, we will continue to grow and succeed on the Chinese Market.

So far 2005 has also been an exciting and challenging year for the TLD Shanghai factory; we struggle to overcome our many difficulties like working in our temporary offices due to the tilt of our main office building; shifting two working days to Saturday and Sunday due to power shortage and at the same time successfully recruiting many new and young colleagues to fill up new management positions. Tang & his team must be given the credit for the hard working and the strong development of the activity.

Allen FU

The Latest Dispatch

NEW TLD-ACE TEST FACILITY



For a factory like **TLD-ACE**, adequate test facilities are a necessity to insure the proper operation of its product before it leaves the factory. This is particularly true for our Air-conditioner product line where we must create a "Summer Environment" all year round in order to properly prove out the product's refrigeration system.

Winters in Connecticut are typically below freezing and for most of our spring and fall we are below the 75 DegF (25DegC) minimum temperature, we need to prove the product. For many years we have relied on a simple "test shed" where we would install the unit and manually adjust doors and fans to create a warm environment by recirculating air that passed over the units hot condenser and radiator, while introducing a certain amount of outside air depending on the outside ambient. This method of using the Products own waste heat worked well enough but with increasing sales of air-conditioners, having only one large test cell was becoming a bottleneck for production. Additionally we have had a long time desire to improve the working conditions for the test department and reduce the noise level felt by the surrounding community.

Finally with the expectation of an improving market, we received the authorization to proceed on this project and started discussing it with the town of Windsor. It was decided to use the empty 808 building located between the TLD ACE factory and the TLD America building and modify it to again use the ACE Product's waste heat to create the test environment. TLD-ACE contracted an Engineering and Construction firm to help design the changes to the building which included an unusual amount of heavy ventilation equipment and over 600 amps of electrical power, all focused on satisfying the test requirements for the smallest to largest of ACE's products.



808 building before the Construction



..During...

The work included demolition of interior walls to clear the building for layout of the five test cells, as well as reconstructing the concrete block walls on both opposite sides of the building to allow installation of ventilating fans and overhead doors for the access into the cells. After seemingly endless Environmental surveys and negotiations with the town, construction was started in September and struggled through the winter. Finally the new facility was completed in the spring and Product testing was started in May of this year.



...and after



View of the small cells looking inward



View of the small cells looking outward

The Latest Dispatch

The New TLD-ACE Test Facility has 5 test cells. 3 of the cells are small cells for testing GPUs, small air-conditioners such as ACE 302 and HGEU 90 models and lavatory and water service units. The 2 large cells are designed to test all other ACE air-cons such as 804, 802 and 808. These large cells are capable of flowing from zero to over 100,000 CFM of air through them, with the fan flow rates easily controlled with Variable Speed Drives. All cells have selection of 120, 240 and 480 volt electrical power at amperage rates adequate to test all ACE products and their option kits. One of the large cells has dedicated 480 VAC to test the 802 –EMP electric drive Air-conditioner or ACE 900 Electric drive Point of Use Air-conditioners, which can require up to 400 amps themselves.



View of one of the large cell looking inward. The fans in the back wall are the exhaust fans



View of one of the large cells looking outward. The long tubes house recirculation fans



Installing an 802 air-con into a large cell prior to test



Testing a GPU in the small cells

With this new addition to the TLD ACE Facility, we also now have a more impressive test environment with which to further build our customers confidence in TLD Products.

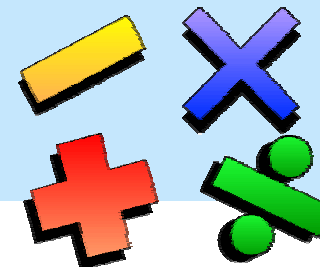
Mark Garlasco

The Latest Dashboard

T L Dash board (in M€uros)

(Year to date-end of MAY figures)

TLD Sales	2005/05		2005/2004 % Evolution
	in M€uros	in % of total	
GSE - AREA AMERICA (Americas, Australia, Japan, N. Zealand)	9,720	20,4%	<11,2>%
GSE - AREA EUROPE (Europe, Africa, middle east, India, Pakistan)	22,508	47,2%	43,4%
GSE - AREA ASIA (w/o Taiw an TRVD)	7,243	15,2%	32,3%
Other activities (Adhésives solutions + Taiw an TRVD)	8,183	17,2%	<6,7>%
TOTAL TLD SALES	47,654	100%	16,5%



TLD Life Digest

GLOBAL SOURCING : A MUST FOR A GLOBAL BUSINESS

Global Sourcing can help companies to reduce their costs by 10% to 35% by diversifying the sources of their supply and permanently benchmarking these costs.

But what exactly does global sourcing imply ?

Global sourcing entails a process of identifying and evaluating the Vendors, negotiating and diversifying the geography of supplies, in order to reduce costs and maximize performance while mitigating risks. Within TLD, a growing part of this mission is carried out through a cooperation between the Group manufacturing sites.

Global sourcing factors can be segmented into six categories :

1°**Material costs** – price, organization, machining costs, fees and other costs related to the product or service delivered.

2°**Transportation costs** – transportation, fuel surcharges and other fees included in a freight rate.

3°**Inventory carrying costs** – warehousing, handling, taxes, insurance, depreciation of obsolete inventory and other costs associated with maintaining inventories, including the cost of money.

4°**Cross-border taxes, tariffs and duty costs** – often referred to as landed cost, which is the addition of duties, shipping, insurance and other fees and taxes for door-to-door delivery.

5°**Supply and operational performance** – the cost of non compliance or underperformance, which, if not managed properly, can offset any price variance gains obtained by shifting to an offshore source.

6°**Supply and operational risks** – including geopolitical factors, tariff and policy changes, instability caused by war, natural disasters and disease.

To understand and manage these factors, supply managers must stay abreast of tariffs, trade regulations and geopolitical constantly in flux. Understanding and optimizing the total cost of imported sources also requires supply managers to know the Harmonized System Code (HS) and International Commerce Terms Incoterms).

An HS Code is a globally accepted 6 to 10 digit numbers used to dictate the fees and restrictions associated with goods, each representing a different tariff or potential trade restriction.

There are 13 standard International Commerce Terms (Incoterms) that define the roles and responsibilities of buyers and border shipping. Each Incoterm assigns a different set of responsibilities, cost and liabilities to the buyer and the seller.

In this complex context, sourcing managers have to identify sourcing opportunities and constantly adjust the mix of their Vendors in order to reach optimal performance.

Concerning TLD Europe, starting January 2005, our turnover with new vendors of new areas of the World is increasing:

- Asian suppliers turnover = 300K€, cost reduction = 40%
- American and Canadian suppliers turnover = 250K€, cost reduction = 20%
- East European suppliers turnover = 100K€, cost reduction = 15%

On a total supply budget 2005 of 22 M€ we are expecting 3% cost saving.

P. CHEVAILLIER

The Last Development of TLD America

Short Memories.... Good Memories

TLD's reach for new heights in today's Ground Support Equipment marketplace requires the development of long term relationships with our customers whether they are a small FBO or a global ground handler. As we all know many of our customers today may be short on cash, expect short lead times, have short tempers (sometimes deservedly so) but rarely do they have short memories!

After a successful sales proposal TLD America is fortunate to be able to count on the professionalism of 3 Service Managers to continue to build upon the relationship initiated by Area Sales Managers. These key players are located regionally in order to best respond to our customers; Charles Epifania is based in New York, Manuel Escobar in Miami and Michael Rawls in Dallas. Similar to skilled symphony conductors, these three orchestrate a stream of never-ending inquiries from customers, factory and sales personnel and their own team of technicians. TLD is rewarded by their hectic pace with improved products resulting from their constant communication with engineering and production departments and most importantly with a growing list of satisfied customers.

A successful manager is only as strong as his team and Charlie, Manny and Mike are quick to point out that each are fortunate to have skilled and dedicated technicians who feel as strongly as they do about supporting the customer. Joe Belton, Raphael Manuel, Blake Rawls, Jim Robinson, Terry Hall and Brad Waddington are constantly traveling

North America commissioning equipment, performing service calls, training customers and assisting sales personnel. A typical day may start in one city with the resolution of a customer's problem followed by travel to another location and another opportunity to satisfy a customer. Each TLD Service Manager and technician must have refrigeration, electrical and hydraulic skills in addition to general mechanical aptitude. A new discipline each TLD technician is now expected to be competent in is in many cases the last tool he uses each day - his notebook computer to document his day's activities and to update the ever-expanding TLD Service Module.

Much like the postal carrier of previous generations TLD's Service Team strives to deliver service regardless of the customer, location, condition and in many cases time-of-day. Because of the skill and dedication of these individuals TLD customers' short memories are good memories helping TLD reach loftier goals each year.

Thanks for a job well done!

Scott Gordon

The Last Development of TLD Montlouis

TPX-500-MTS HIGH SPEED TOWING TRACTOR FOR THE A380 AIRCRAFT

The TPX-500-MTS is a larger version of the TPX-500-S towbarless tractor that is currently in operation on A380 with AIRBUS in TOULOUSE.

Towbarless tractors eliminate the need for towbars by docking with and lifting the aircraft nosewheel- utilizing its weight for traction. They make it possible to reduce the operator manpower requirements, and the number of tractors required, and provide airlines, ground handling companies and airport authorities, together with the ease of operation, significant opportunities to reduce their operation costs and increase their efficiency.



The design concept and mode of operation of the TPX-500-MTS is similar to the six other towbarless tractors models of the TLD range, incorporating a hydrostatic drive line and a similar nose landing gear cradle interface assembly.

PLC technology is being employed to control the vehicle functions and operation of the nose landing gear cradle interface.

Together with its electronically controlled 680HP DEUTZ V8 engine, REXROTH A4VG250 hydrostatic transmission coupled to REXROTH A6VM500 high speed hydraulic motors, the TPX-500-MTS stand at the cutting edge of technology employed in Ground Support Equipment, while utilizing well proven, well supported components and systems with excellent reliability and longevity.

TPX-500-MTS is designed for push back, inter- gate and higher speed longer distance maintenance towing operations with aircraft ranging from the A300 / B767 up to and including the a fully loaded A380, i.e. the same range of aircraft as the push back tractor TPX-500-S.

With an unloaded maximum speed of 32km/h, the TPX-500-MTS maximum towing speed, when harnessed to a 300-tonne aircraft, is as high as 24km/h !

Ludovic Daden

TLD people

TLD AMERICA - WEST COAST SALES

When the loader business, TLD Lantis, moved to TLD Canada, it was decided to keep a parts support hub on the West Coast. June 2002 was the new beginning for TLD America-California. A new name, new building, new computer system and a few new people. With support on the West Coast, this provides the continued support for 3 more hours after the East Coast has closed.



TLD America-California has 5 parts people. There is a mix of long time veterans and the addition of two new young people, creating a balance of knowledge and fresh ideas. Elaine Destin, Spare Parts Manager, with 21 years, Danny Wanzong (shipper) with 36 years, James Eskridge with 10 years and the two newest members Fabian Arriaga and Autumn Sparks.

Fadi Anbouba, Sales and Service Manager, heads up the team in this Salinas, California, office. His "equipment customers, however, keep him busy and "on the road" most of time.

TLD America-California provides support to not only the current production, but equipment manufactured by Lantis and Cochran Western, dating back 30-35 years. Today we are increasing our focus and support of the transporters made in St. Lin and the Montlouis tractor and continuing to gain more knowledge of the fluid line of equipment of TLD.

Congratulations to the TLD America- California Hub for its focus and dedication to our Western US customers.